EQUITY RESEARCH REPORT

Canadian Banking Sector: Navigating the Rate Cycle

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Coverage Universe: RY, TD, BNS, BMO, CM, NA

Sector View: Overweight

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Executive Summary

Canadian banks are entering a more constructive phase following two years of margin compression driven by rapid Bank of Canada rate hikes. With the BoC now in a cutting cycle - three 25bp cuts delivered since June 2024 - net interest margins are stabilizing and credit quality remains resilient despite elevated consumer debt levels. We maintain an Overweight sector view and see selective opportunities in the large-cap banks with strong wealth management franchises.

Sector Outlook

The Canadian banking sector faces a more balanced risk/reward environment in 2025. Rate normalization is supportive of loan growth and NIM recovery, while mortgage renewal risk - with an estimated 1.2 million mortgages renewing at higher rates through 2026 - remains the primary headwind. Loan loss provisions have risen modestly but remain within historical norms. Capital ratios are strong with the Big Six averaging CET1 of 13.2%, providing flexibility for buybacks and dividend increases.

Key macro tailwinds: (1) BoC rate cuts reducing funding costs; (2) Housing market stabilization supporting mortgage book quality; (3) US expansion contributing to Royal Bank and TD's earnings diversification.

Key macro risks: (1) Mortgage renewal shock if rates remain elevated; (2) Consumer insolvencies rising from generational lows; (3) Commercial real estate exposure in the US for TD and BMO.

Stock Recommendations

- Royal Bank of Canada (RY) - BUY, Target $175: Strongest wealth management franchise in Canada. HSBC Canada acquisition fully integrated, contributing 3-4% EPS accretion. Dividend yield 3.9%. P/E 12.2x NTM.
- Toronto-Dominion Bank (TD) - HOLD, Target $88: US regulatory consent order creating near-term uncertainty. Capital deployment constrained. Valuation attractive at 9.8x NTM P/E but await resolution of AML remediation.
- Bank of Nova Scotia (BNS) - HOLD, Target $72: International strategy refocus on North America underway. Higher dividend yield (6.1%) compensates for slower growth. Prefer to wait for evidence of earnings inflection.
- Bank of Montreal (BMO) - BUY, Target $135: Bank of the West integration complete. US earnings contribution growing. Strong commercial banking platform. 11.1x NTM P/E - discount to peers appears unwarranted.

Valuation

We value Canadian banks on a P/BV and P/NTM earnings basis. The sector trades at 1.6x book and 11.4x NTM earnings versus a 10-year average of 1.8x and 12.1x respectively, suggesting modest undervaluation relative to history. The discount reflects ongoing uncertainty around mortgage credit quality and US regulatory issues at TD. We see re-rating potential as these headwinds clarify over the next 12 months.

Risk Factors

- Credit cycle deterioration beyond current provisions if unemployment rises above 7%
- Commercial real estate loan losses, particularly US office exposure
- Regulatory changes to mortgage stress test rules affecting origination volumes
- Geopolitical or trade disruption affecting the CAD and commodity prices
- Technology disruption from fintech and digital-only bank competitors